

Student: _____
Date: _____
Time: _____

Instructor: Alejandro Melo Ponce
Course: ECO108-Summer 2015
Book: Miller: Economics Today 18e

Assignment: Assignment 3

1. The campus bookstore sells a campus mug for \$10. When you buy a second campus mug, however, its price is only \$6. How does this relate to marginal utility?
- ☐ A. Increases in total utility from the consumption of campus mugs become larger as more is consumed so consumers will pay more.
 - ☐ B. Since marginal utility falls as additional units of the good are consumed, consumers are only willing to purchase more as the price falls.
 - ☐ C. As more is consumed, the marginal utility increases so consumers are willing to purchase more at higher prices.
 - ☐ D. The cost of a campus mug becomes cheaper as more are consumed.

Answer: B

2. David buys pizza from the campus pizzeria. He calculates his total utility from pizza as follows:

Slices of Pizza	Total Utility
0	0
1	12
2	17
3	20
4	22

All of the following statements regarding David's utility from pizza are true *except*

- ☐ A. To increase his marginal utility from a slice of pizza, David must consume less.
- ☐ B. David experiences diminishing marginal utility.
- ☐ C. David's total utility is increasing at a decreasing rate.
- ☐ D. David experiences increasing marginal utility since his total utility is rising.

Answer: D

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3. Fill in the missing cells in the table.

Number of Cheeseburgers	Total Utility of Cheeseburgers	Marginal Utility of Cheeseburgers	Bags of French Fries	Total Utility of French Fries
1	38	38	1	14
2	70	10 32	2	116 24
3	30 96	26	3	30
4	116	20	4	24 32
5	130	14 2	5	32

Answers 32
 24
 96
 32
 14
 0

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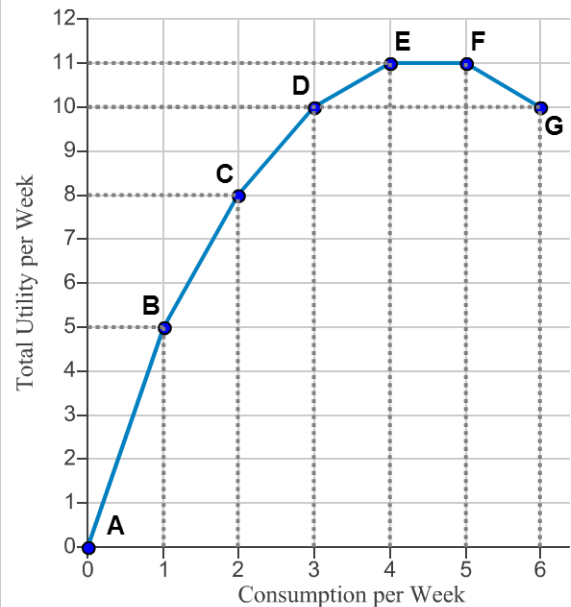
4. Consider the movements that take place from one point to the next (A to B to C and so on) along the total utility curve at right as the individual successively increases consumption by one more unit, and answer the questions that follow.

Which one-unit increase in consumption from one point to the next along the total utility curve generates the highest marginal utility?

to .

Which one-unit increase in consumption from one point to the next along the total utility curve generates zero marginal utility? to .

Which one-unit increase in consumption from one point to the next along the total utility curve generates negative marginal utility? to .



Answers A

B

E

F

F

G

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5. What is the difference between total utility and marginal utility?

- ☐ A. Marginal utility is subject to the law of diminishing marginal utility while total utility is not.
- ☐ B. Marginal utility represents the consumer optimum while total utility gives the total utility per dollar spent on the last unit.
- ☐ C. Total utility represents the consumer optimum while marginal utility gives the total utility per dollar spent on the last unit.
- ☐ D. Total utility is the total amount of satisfaction derived from consuming a certain amount of a good while marginal utility is the additional satisfaction gained from consuming an additional unit of the good.

Answer: D

6. Total utility

- ☐ A. is at a maximum when marginal utility is zero.
- ☐ B. rises as long as marginal utility is positive.
- ☐ C. falls as long as marginal utility is negative.
- ☐ D. All of the above.

Answer: D

7.

Number of Cheeseburgers	Total Utility of Cheeseburgers	Marginal Utility of Cheeseburgers	Bags of French Fries	Total Utility of French Fries	Marginal Utility of French Fries
0	0	—	0	0	—
1	20	20	1	10	10
2	36	16	2	18	8
3	48	12	3	20	2
4	56	8	4	20	0
5	60	4	5	—	—

If the price of a cheeseburger is \$2, the price of a bag of french fries is \$1, and you have \$6 to spend all of it), what is the utility-maximizing combination of cheeseburgers and french fries .

Answers 2
2

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8. Ryan is deciding between attending Western State University and Eastern State University. He cannot attend both universities simultaneously. Both are fine universities, but the reputation of Western is slightly higher, as is the tuition. Let MU_E and MU_W be Ryan's marginal utilities from attending Eastern and Western State Universities respectively and P_E and P_W be the prices of attending Eastern and Western State Universities. Using the rule of consumer optimum, Ryan will decide to

- ☐ A. attend Eastern State University, if $\frac{MU_E}{P_E}$ is less than $\frac{MU_W}{P_W}$.
- ☐ B. attend Western State University, if $\frac{P_E}{MU_E} < \frac{P_W}{MU_W}$.
- ☐ C. attend Eastern State University, if $\frac{MU_E}{P_E}$ exceeds $\frac{MU_W}{P_W}$.
- ☐ D. attend Western State University, since it gives him more utility.

Answer: C

9.

Quantity of Subscriptions to Economics Statistics Apps per Year		Quantity of Subscriptions to Office Productivity Apps per Year	
Total Utility (utils)		Total Utility (utils)	
1	40	1	400
2	60	2	700
3	76	3	850
4	86	4	950
5	91	5	1,000
6	93	6	1,025

Refer to the above table and assume that each year this consumer buys only annual subscriptions to economics statistics apps and subscriptions to office productivity apps. The price of a subscription to each type of economics statistics app is \$2 per year, and the subscription to each office productivity app is \$60 per year. If the consumer's available income is \$190 per year, he will purchase a quantity of economics statistics apps and office productivity apps each year at a consumer optimum.

Answers 5

3

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10.

		Quantity of Subscriptions to Office Productivity Apps per Year	
Quantity of Subscriptions to Economics Statistics Apps per Year	Total Utility (utils)	Quantity of Subscriptions to Office Productivity Apps per Year	Total Utility (utils)
1	40	1	400
2	60	2	700
3	76	3	850
4	86	4	950
5	91	5	1,000
6	93	6	1,025

Refer to the above table and assume that each year this consumer buys only annual subscriptions to economics statistics apps and subscriptions to office productivity apps. The price of a subscription to each type of economics statistics app is \$3, and the subscription to each office productivity app is \$60 per year. If the consumer's available income is \$255 per year, the consumer will purchase economics statistics app(s) and office productivity app(s).

If the consumer's available income falls to \$66, what will be the new combination of economics statistics apps and office productivity apps?

economics statistics app(s): and office productivity app(s): .

Answers 5

4

2

1

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11. At a consumer optimum involving goods A and B, the marginal utility of good A is four times the marginal utility of good B.

The price of good B is \$2.50. The price of good A is

- ☐ A. \$4.00.
- ☐ B. \$15.00.
- ☐ C. \$10.00.
- ☐ D. There is not enough information.

Answer: C

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12. Given the following: Income = \$40, Price of a Pizza = \$5, Price of a Video = \$4, fill in the blank table below

(Note: $MU/\$$ = the Marginal Utility per dollar spent).

Units	Total Utility Pizzas	$MU/\$$ Pizzas	Units	Total Utility Videos	$MU/\$$ Videos
1	50	10	1	30	7.5
2	90	8	2	58	7
3	120	6	3	82	6.33
4	140	4	4	102	5.5
5	150	2	5	118	4.75
6	155	1	6	130	4.17
7	155	0	7	138	3.75

If your income is \$40 a month, the price of pizza is \$5 and the price of a video is \$4, how many pizzas will you buy and how many videos will you rent each month?

- ☐ A. 5 pizzas and 4 videos.
- ☐ B. 4 pizzas and 5 videos.
- ☐ C. 4 of each.
- ☐ D. 6 pizzas and 2.5 videos.

Answers 8

5

B

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13. Jeanne is currently spending all of her weekly income purchasing the two goods that she likes brownies and milk. She is currently purchasing 10 brownies and 5 cartons milk.

She receives 50 utils from her 10th brownie and 25 utils from her 5th carton milk.

The price of brownies is \$12, and the price of milk is \$4. Is Jeanne maximizing her utility, and if not, what should she do?

- ☐ A. Jeanne should buy more brownies and fewer milk.
- ☐ B. Jeanne should buy fewer brownies and more milk.
- ☐ C. Jeanne should buy fewer brownies and fewer milk.
- ☐ D. Jeanne should buy more brownies and more milk.
- ☐ E. There is not enough information to tell what Jeanne should do.

Answer: B

14. What is the substitution effect of a price change on the quantity demanded of a good or service?

- ☐ A. A price change affects the purchasing power of an individual's available income.
- ☐ B. A price change induces people to substitute among goods.
- ☐ C. The same as the water-diamond paradox.
- ☐ D. A price change leads to the consumer increasing consumption due to the law of diminishing marginal returns.

Answer: B

15. Suppose the price of apples falls relative to other similar goods, and as a result the quantity of apples demanded increases. This is caused by

- ☐ A. substitution effect.
- ☐ B. increased demand effect.
- ☐ C. real income effect.
- ☐ D. increased relative demand effect.

Answer: A

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16. The market price people are willing to pay for a unit of a particular commodity is determined by
- ☐ A. average utility.
 - ☐ B. total utility.
 - ☐ C. the sum of average and marginal utility.
 - ☐ D. marginal utility.

Answer: D

17. Why is the price of diamonds usually so much higher than the price of water even though people cannot survive long without water?
- ☐ A. A price change affects the purchasing power of an individual's available income.
 - ☐ B. There are no good substitutes for diamonds while there are good substitutes for water.
 - ☐ C. This is an unsolved mystery.
 - ☐ D. Marginal utility, not total utility, determines how much a person is willing to pay for a good.

Answer: D

18. Other things remaining equal, as the relative price of a good falls, people consume more of that good because
- ☐ A. that particular good now has a higher marginal utility per dollar than other goods.
 - ☐ B. that particular good now has greater total utility.
 - ☐ C. that particular good now has greater average utility.
 - ☐ D. that particular good now has a lower marginal utility per dollar than other goods.

Answer: A

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19.

Quantity of Hamburgers/Wk	Total Utility Hamburgers	Marginal Utility Hamburgers	Quantity of Movies/Wk	Total Utility Movies
1	40	40	1	400
2	60	20	2	700
3	76	16	3	850
4	86	10	4	950
5	91	5	5	1,000
6	93	2	6	1,025

Refer to the table above. Suppose the price of a movie is \$5 and the consumer's income is \$29. quantities demanded of hamburgers at prices of \$2 and \$1 respectively?

- ☐ A. 1; 2 ☐ B. 0; 1 ☐ C. 2; 4 ☐ D. 3

Answer: C

20.

Jeanette is maximizing her utility buying bagels and bread. This week, the price of bagels has increased. Jeanette considers these goods to be close substitutes.

Which of the following best describes what Jeanette would be expected to do?

- ☐ A. Jeanette will buy less bagels and more bread.
☐ B. Jeanette will buy more bagels and more bread.
☐ C. Jeanette will buy less bagels and less bread.
☐ D. Jeanette will buy more bagels and less bread.

Answer: A

21.

Along the indifference curve

- ☐ A. marginal utility falls.
☐ B. total utility is constant.
☐ C. marginal utility is constant.
☐ D. total utility decreases at a decreasing rate.

Answer: B

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22. The slope of the indifference curve is

- ☐ A. negative.
- ☐ B. not enough information.
- ☐ C. positive then negative.
- ☐ D. positive.

Answer: A

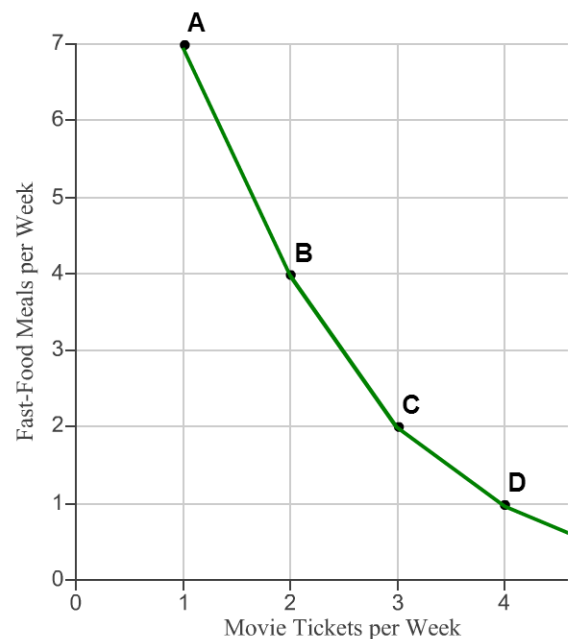
23. Along an indifference curve, every point is equally desirable to the consumer.

- ☐ A. True
- ☐ B. False

Answer: A

24. Consider the indifference curve illustrated in the figure on the right. The curve is convex to the origin because

- ☐ A. the consumer must abide by a budget constraint.
- ☐ B. the law of diminishing marginal utility always holds.
- ☐ C. more is preferred to less.
- ☐ D. the marginal rate of substitution falls as a consumer buys more movie tickets.



Answer: D

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25. Your classmate tells you that he is indifferent between the following bundles:

(A) three soft drinks and two hamburgers
or

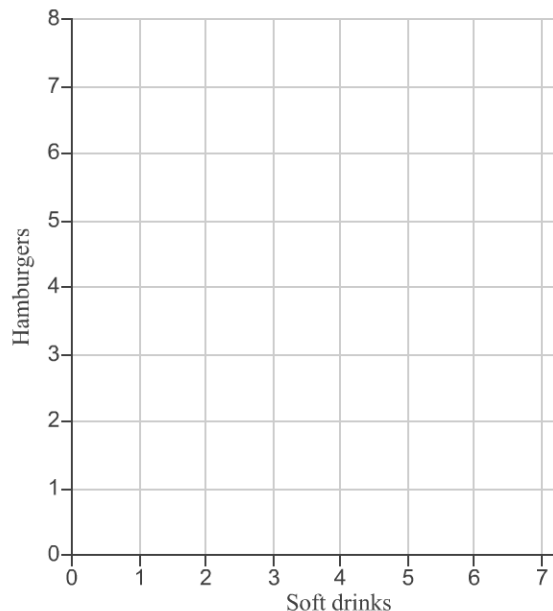
(B) two soft drinks and three hamburgers.

1.) *Use the point drawing tool* to plot these bundles of goods in the graph on the right. Label the points 'A' and 'B,' respectively.

2.) *Use the three-point curve drawing tool* to draw a smooth indifference curve that passes through the above points.

Carefully follow the instructions above and only draw the required objects.

Suppose that your classmate states that he is also indifferent between two soft drinks and three hamburgers or one soft drink and four hamburgers, but that he prefers three soft drinks and two hamburgers to one soft drink and four hamburgers. Based on the digram one can conclude that your classmate

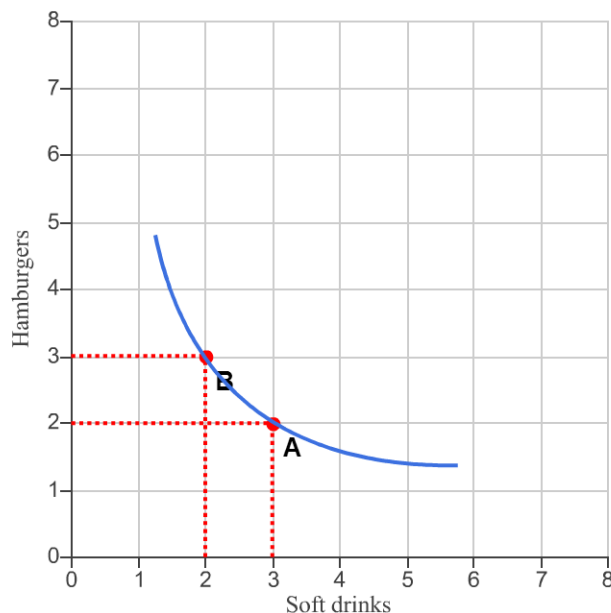


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25. (cont.)
- ☐ A. cannot have these preferences since the point (1,4) lies to the right of the indifference curve.
 - ☐ B. cannot have these preferences because if he is indifferent between 1 soft drink, 4 hamburgers and 2 soft drinks, 3 hamburgers, he must be indifferent between 1 soft drink, 4 hamburgers and 3 soft drinks, 2 hamburgers, because the bundles 2 soft drinks, 3 hamburgers and 3 soft drinks, 2 hamburgers lie on the same indifference curve.
 - ☐ C. can have these preferences because he is getting fewer soft drinks and more hamburgers compared to the bundle 2 soft drinks, 3 hamburgers.
 - ☐ D. cannot have these preferences because both (a) and (b) are true.



Answers

B

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26. Indifference curves are

- ☐ A. concave to the origin.
☐ B. no specific shape.
☐ C. either convex or concave to the origin.
☐ D. convex to the origin.

Answer: D

27. The table below represents Sue's preferences for bottled water and soft drinks, the combination of which yields the same level of utility.

Combination of Bottled Water and Soft Drinks	Bottled Water per month	Soft Drinks per month
A	5	11
B	10	7
C	15	4
D	20	2
E	25	1

Sue's marginal rate of substitution of soft drinks for bottled water at B is . (Enter your response rounded to two decimal places.)

Sue's marginal rate of substitution of soft drinks for bottled water at C is . (Enter your response rounded to two decimal places.)

Sue's marginal rate of substitution of soft drinks for bottled water at D is . (Enter your response rounded to two decimal places.)

Sue's marginal rate of substitution of soft drinks for bottled water at E is . (Enter your response rounded to two decimal places.)

Answers 0.80
 0.60
 0.40
 0.20

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28. The marginal rate of substitution is measured along

- ☐ A. a given budget line.
- ☐ B. the demand curve.
- ☐ C. a given indifference curve.
- ☐ D. the total utility curve.

Answer: C

29. Which of the following statements about the indifference curve is *true*?

- ☐ A. A higher indifference curve represents the possibility of higher rates of consumption if income increases.
- ☐ B. A finite number of indifference curves can be drawn.
- ☐ C. A lower indifference curve is preferred to a higher one because consumers prefer lower prices.
- ☐ D. The higher an indifference curve is for a consumer, the greater that consumer's marginal level of satisfaction.

Answer: A

30. Which of the following statements about indifference curves is *true*

- ☐ A. The higher an indifference curve is for a consumer, the greater that consumer's total level of satisfaction.
- ☐ B. A higher indifference curve represents the possibility of higher rates of consumption of only one of the goods.
- ☐ C. For every given quantity of one good, the same amount of the other good can be obtained on a higher indifference curve.
- ☐ D. The higher an indifference curve is for a consumer, the greater that consumer's marginal level of satisfaction.

Answer: A

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31. The table below indicates the maximum number of each good that can be purchased with the given budget. Given the information contained in the table, fill in the blanks.

Maximum units of goods X and Y that can be purchased with various budget levels		
Budget	X = Days Skiing Price of X = \$40	Y = Days Rock Climbing Price of Y = \$20
\$150	3.8 6.3	7.5
\$250	6.3	12.5 6.3
\$400	10.0 12.5	20.0

When the budget is \$150, the slope of the budget constraint is

-2.0
-3

When the budget is \$250, the slope of the budget constraint is

-2.0
-1.5

When the budget is \$400, the slope of the budget constraint is

-2.0
-1.25

Since the budget constraint is a straight line, the slope of the budget constraint is

positive
falling
constant

Answers 3.8

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31.	12.5
(cont.)	10.0
	- 2.0
	- 2.0
	- 2.0
	constant

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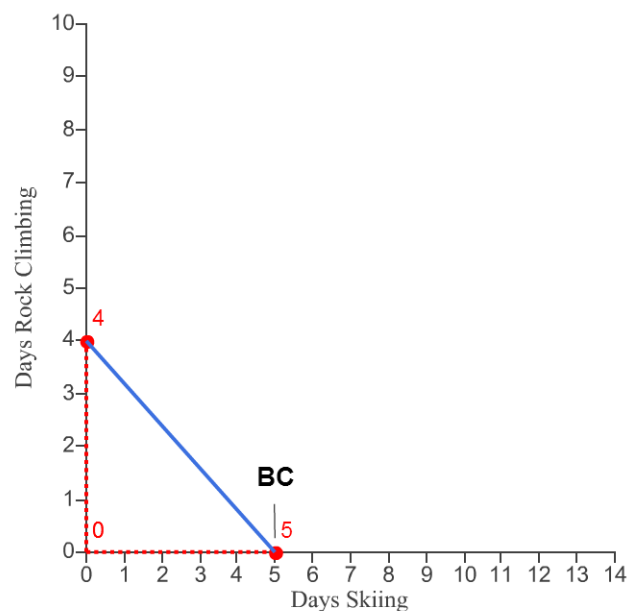
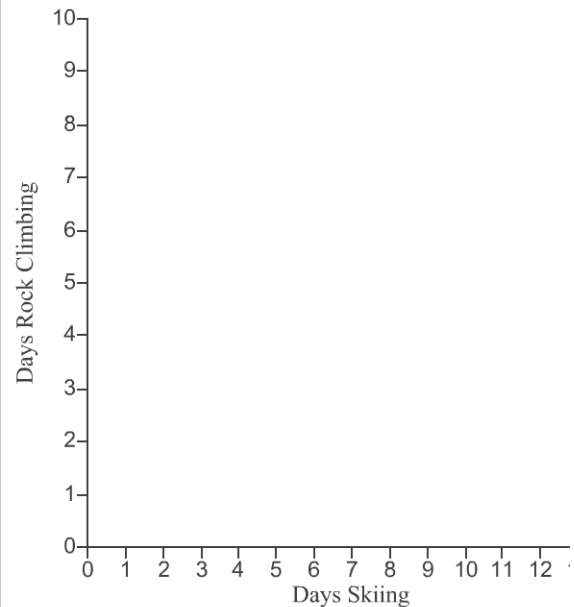
32. Assume that Sue has \$100 in income to spend on Days Skiing and Days Rock Climbing.

The price of Days Skiing is \$20, and the price of Days Rock Climbing is \$25.

1.) *Using the point drawing tool*, plot the X and Y intercepts for the budget constraint for Days Skiing and Days Rock Climbing. Do *not* label these two points.

2.) *Using the line drawing tool*, draw the budget constraint. Label this line 'BC'.

Carefully follow the instructions above, and only draw the required objects.



Answer:

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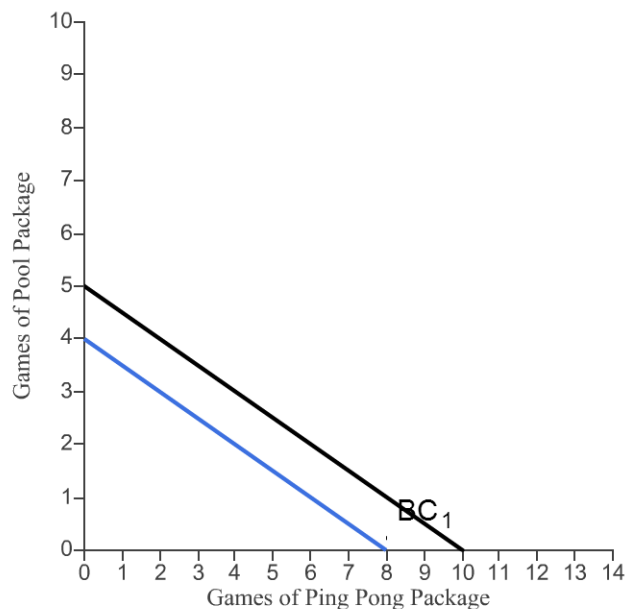
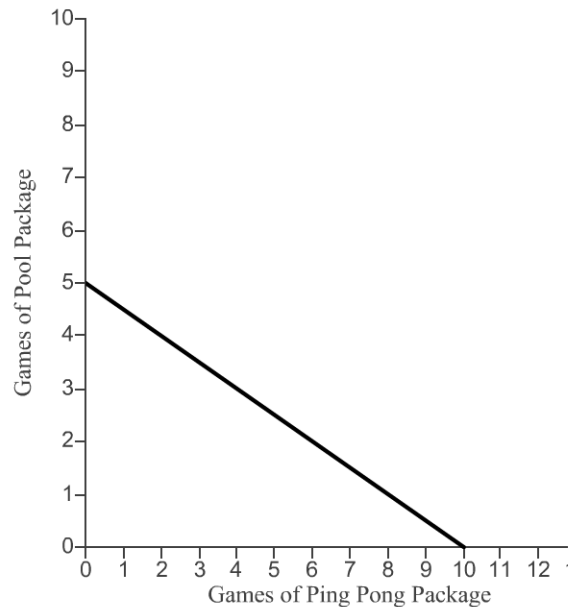
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33. The graph to the right shows Joe's budget constraint for Games of Ping Pong Package and Games of Pool Package when the budget is \$200, the price of Games of Ping Pong Package is \$20, and the price of Games of Pool Package is \$40.

Using the line drawing tool, plot the new budget constraint when the price of Games of Ping Pong Package is \$25 and the price of Games of Pool Package is \$50. Label this line 'BC₁'.

Carefully follow the instructions above, and only draw the required objects.



Answer:

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34. The graph to the right shows Joe's three budget constraints for Games of Ping Pong Packages and Games of Pool Packages when the price of Games of Ping Pong Packages is \$25, and the price of Games of Pool Packages is \$20.

Determine Joe's budget for B_1 , B_2 and B_3 .

Joe's budget for budget constraint B_1 is

.

Joe's budget for budget constraint B_2 is

.

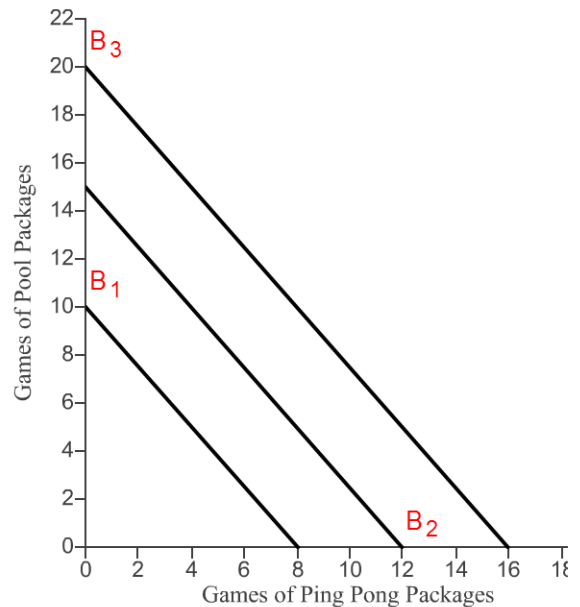
Joe's budget for budget constraint B_3 is

.

As income increases, the budget constraint

shifts to the .

Answers



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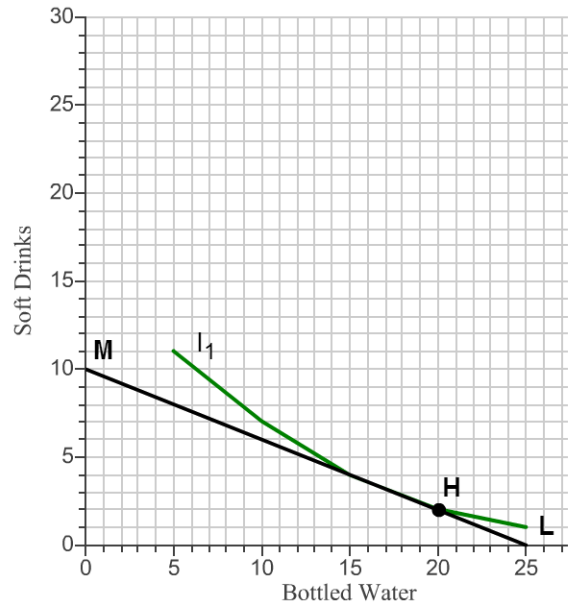
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35.

The figure drawn on the right shows Sue's initial indifference curve I_1 for bottled water and soft drinks. Sue's monthly budget for bottled water and soft drinks is \$20.00. Initially the price of bottled water was \$1.00 per bottle, and the price of soft drinks was \$2.00 per bottle. Sue's budget line is shown as the line LM. Initially Sue's utility-maximizing combination was 20 bottles of water and 2 soft drinks shown by point H in the figure.

Suppose that at a higher satisfaction level than shown by the indifference curve I_1 , Sue's consumption preferences are as shown in the table below.

Combination of Bottled Water and Soft Drinks	Bottled Water per month	Soft Drinks per month
A	5	10
B	10	7
C	15	4
D	20	2
E	25	1



After plotting the final point of your multiple curve, press the Esc key on your keyboard to end the line.

1.) Use the multipoint curve drawing tool to draw a new indifference curve for Sue. Label the curve I_2 .

Suppose now the price of soft drinks falls to \$1.00 per bottle.

2.) Use the point drawing tool to locate the upper point (on the soft drinks axis) of the budget line at the point N.

3.) Use the line drawing tool to draw the new budget line for Sue.

Carefully follow the instructions above and on the graph to draw the required objects.

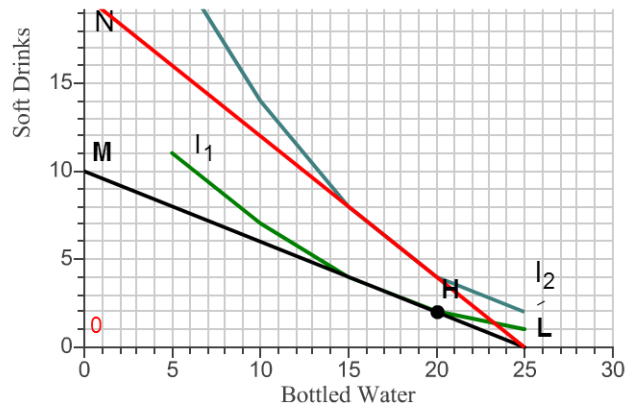


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35.
(cont.)



Answer:

36. Using indifference curve analysis, the consumer optimum occurs

- ☐ A. on the midpoint of the budget constraint.
- ☐ B. where the marginal rate of substitution is the greatest.
- ☐ C. at the point of tangency between an indifference curve and a budget line.
- ☐ D. on the upward-sloping portion of the indifference curve.

Answer: C

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37. Sue consumes bottled water and soft drinks. Her monthly budget for bottled water and soft drinks is \$20.00. When the price of a bottle of water was \$0.80 and the price of a bottle of soft drink was \$2.00, Sue's utility-maximizing combination was 20 bottles of water and 2 bottles of soft drinks. With her monthly budget and the price of a bottle of water remaining unchanged at \$20.00 and \$.0.80 respectively, when the price of a bottle of soft drink fell to \$1.00, Sue's utility-maximizing combination changed to 20 bottles of water and 4 bottles of soft drinks.

Given the above information, we can conclude that Sue's preferences for soft drinks are

- ☐ A. not consistent with the law of demand because as the price of soft drinks fell, the price of bottled water and monthly budget or income remained unchanged.
- ☐ B. consistent with the law of demand because as the price of soft drinks fell, with the price of bottled water and monthly budget or income remaining unchanged, the quantity demanded for bottled water remained unchanged.
- ☐ C. not consistent with the law of demand because as the price of soft drinks fell, the quantity demanded for bottled water did not change.
- ☐ D. consistent with the law of demand, because as the price of soft drinks fell, with the price of bottled water and monthly budget or income remaining unchanged, the quantity demanded for soft drinks increased.

Answer: D

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Assignment: Assignment 3

38.

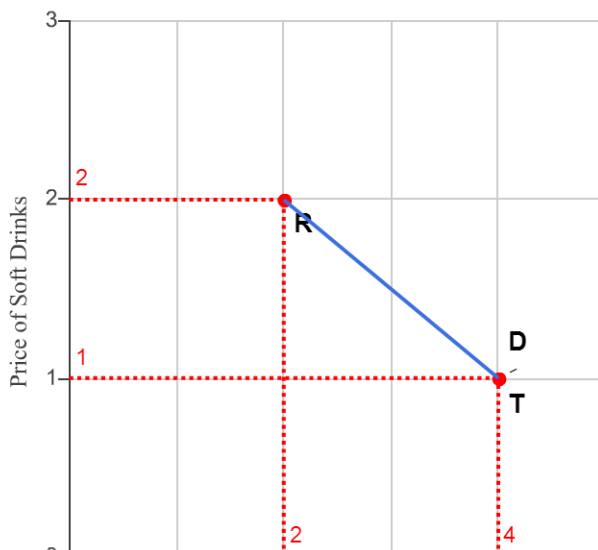
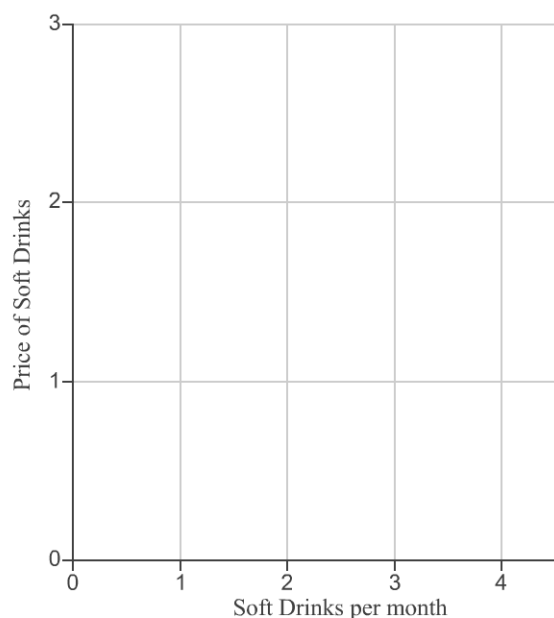
Sue consumes bottled water and soft drinks. Her monthly budget for bottled water and soft drinks is \$20.00. When the price of a bottle of water was \$0.80 and the price of a bottle of soft drink was \$2.00, Sue's utility-maximizing combination was 20 bottles of water and 2 bottles of soft drinks. With her monthly budget and the price of a bottle of water remaining unchanged at \$20.00 and \$.0.80 respectively, when the price of a bottle of soft drink fell to \$1.00, Sue's utility-maximizing combination changed to 20 bottles of water and 4 bottles of soft drinks.

1.) Use the point drawing tool to locate the initial utility-maximizing point in the figure to the right. Label this point 'R'.

2.) Use the point drawing tool to locate the utility-maximizing point after the price of soft drinks falls. Label this point 'T'.

3.) Use the line drawing tool to draw the demand curve for soft drinks by joining the points, 'R' and 'T'. Label the line 'D'.

Carefully follow the instructions above and only draw the required objects.



Student: _____
Date: _____
Time: _____

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(cont.)

Answer:

